

0452 | PAPER 2

TOPIC 04

Accounting procedures

FULL ANSWER GUIDE | 2021-2025

15 indexed questions • 272 total marks

Independently reformatted and rewritten for study. Original examination questions are not reproduced.

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How to use: open the matching question in the topical bank, attempt it first, then compare with the answer guide below. Standard accounting terms and figures are retained; explanatory points are shortened and independently worded.

4.2 Accounting for depreciation and disposal of non-current assets

Question 01 | Feb/Mar 2021 Paper 22 Question 2 - 20 marks

2(a) Zamir

Income Statement for the year ended 31 December 2020			
	\$		\$
Fee income			151 750
Less Expenses			
*Rent and rates			
(26 000 - 4 000 + 1 260)	23 260		
Salaries	55 000	}	
Stationery and advertising	6 450	}	
Electricity	8 000	}	
Bank charges	4 100	}	
Irrecoverable debts	1 885		
Loss on disposal of office equipment			
(1 000 - (1 260))	2600F		
Depreciation of office equipment			
(60 000 - 1 800 = 58 200 × 15%)	8 7300F	107 685	
Profit for the year			44 0650F
* Rent and rates alternative calculation			
rent 4 000 × 4	16 000		
rates 6 000 + (2/12 × 7 560)	7 260		
	23 260		

2(b) Zamir

Statement of Financial Position (assets section) at 31 December 2020			
	\$	\$	\$
Assets			
Non-current Assets	Cost	Accumulated depreciation	Net book value
*Office equipment	58 200	30 6900F	27 510 0F
Current Assets			
Trade receivables (15 600 - 1 885)		13 715 }	
Other receivables		4 000 }	
Total assets			17 715 45 225

* workings: cost 60 000 - 1800 = 58 200

Key point: acc dep 22 500 540 21 960 8730 30 690

2(c) High level of drawings

High level of trade receivables/trade receivables slow to settle debts
 Expenses not controlled efficiently
 To meet short-term debts when they fall due
 To improve cash flow/liquidity

Benefit: able take advantage opportunities they arise

To purchase additional non-current assets/expand the business

2(d) Salary increase - advantages

Key point: Sharif entitled his salary share profit

Zamir would not need to consult Sharif before making decisions
 Disagreements about decisions etc. would not arise
 Sharif's motivation and commitment may improve

Key point: changes required legal structure

Partnership offer - advantages
 Sharif may be required to introduce capital
 The risks/losses and responsibilities would be shared
 The decision-making would be shared

Key point: Sharif salary employee need paid

Sharif may be more committed
 Recommendation

END OF ANSWER

Question 02 | May/June 2021 Paper 21 Question 4 - 6 marks

4(a) Neith

Corrected Trial balance at 31 March 2021		
	\$	\$
Fixtures and equipment at cost	300 000	
Provision for depreciation of fixtures and equipment		120 000
Inventory	8 800	
Trade receivables	16 100	
Provision for doubtful debts		322
Petty cash	100	
Bank overdraft		11 400
Trade payables		3 200
Capital at 1 April 2020		160 000
Sales		107 498
Purchases	41 520	
Rent and rates	16 000	
Office expenses	9 000	
General expenses	8 150	
Other receivables	2 750	
	<u>402 420</u>	<u>402 420</u> both

4(b) Neith

Error number	Details	Journal Debit \$	Credit \$
1	General expenses Office expenses	32	32
2	Sales Anya	75	75
3	Purchases Samir	120	120
4	Bank Office expenses	72	72
5	Office expenses/cleaning expenses Fixtures and equipment	235	235

4(c)

Error number	Increases capital	Decreases capital	No effect on capital
1			□
2		□	
3		□	
4	□		
5		□	

END OF ANSWER

Question 03 | Oct/Nov 2021 Paper 21 Question 2 - 20 marks

2(a)

	Capital expenditure	Revenue expenditure
Building new extension to warehouse	□	
Rates on new extension		□
Carriage costs for roof tiles for new extension	□	
Legal costs for new extension	□	
Repairs to office roof		□

2(b)

Rent warehouse	Purchase warehouse
No initial outlay	OR Has to raise an additional \$200 000 in order to purchase
Little or no maintenance/repair cost	OR Will be maintenance/repair costs/depreciation
The non-current asset is not owned	OR Will own an additional non-current asset/gets fixed asset/owns a warehouse
	Loan must be repaid
	Will have to pay loan interest
	Warehouse may not be required if trade decreases in future
Premises may not be available on a long term basis	

Rent may increase after 6 months

Can vacate the premises after 6 months
(is flexible)

Recommendation

2(c) Jas

Fixtures account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2020			2020		
Jan 1	Balance b/d	115 000	Jun 30	Fixtures disposal	20 000
	Bank 30 000	31		Balance c/d	125 000
		145 000			145 000
2021					
Jan 1	Balance b/d	125 000			

Provision for depreciation of fixtures account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2020			2020		
Jun 30	Fixtures disposal	11 250	Jan 1	Balance b/d	77 625
Dec 31	Balance c/d	96 750	Dec 31	Income statement	21 375
					2 250
					6 750
		108 000			30 375
					108 000
2021			2021		
Jan 1	Balance b/d	96 750	Jan 1	Balance b/d	96 750

2(d) Jas

Fixtures disposal account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2020			2020		
Jun 30	Fixtures	20 000	Jun 30	Prov. for Dep. OF	11 250
				Bank	6 000
			Dec 31	Income statement	2 750
		20 000			20 000

END OF ANSWER

Question 04 | Oct/Nov 2021 Paper 22 Question 5 - 20 marks

5(a) Simon 15

Delivery vehicles account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2019			2020		
Jan 1	Balance b/d	55 000	Mar 31	Disposal	25 000
		55 000	Dec 31	Balance c/d	30 000
2021					55 000
Jan 1	Balance b/d	30 000			

Provision for depreciation of delivery vehicles account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2019			2019		
Dec 31	Balance c/d	22 000	Jan 1	Balance b/d	11 000
			Dec 31	Income statement	6 000
					5 000
		22 000			11 000
2020			2020		
Mar 31	Disposal (5000 + 5000)	11 250	Jan 1	Balance b/d	22 000
	+1250	18 000	Dec 31	Income statement	6 000
Dec 31	Balance c/d	29 250			1250
					7 250
					29 250
2021			2021		
Jan 1	Balance b/d	18 000	Jan 1	Balance b/d	18 000

5(a) Delivery vehicles disposal account

Dr			Cr		
Date	Details	\$	Date	Details	\$
2020			2020		
Mar 31	Delivery vehicles	25 000	Mar 31	Prov for	11 250
				Dep. OF	10 350
			Dec 31	Bank	
				Income statement	3 400
		25 000			25 000

Dates

5(b) Reducing balance Straight line

Has to be recalculated each year
 Suitable when lose more value in early years
 Shows a more realistic book value
 Matches cost more closely with revenue
 Unable to compare with previous accounts

Easier to calculate / only one calculation needed
 Suitable when lose equal value each year
 Suitable when annual usage is the same
 Should not change method without good reason /
 apply consistency

Recommendation

END OF ANSWER

Question 05 | Feb/Mar 2022 Paper 22 Question 4 - 6 marks

4(a) Demis

Corrected Trial Balance at 31 December 2021

	Debit \$	Credit \$
Sales		90 052
Purchases	52 420	
Rates and insurance	11 500	
General expenses	1 092	
Property	92 500	
Fixtures at cost	34 000	
Provision for depreciation of fixtures		21 760
Trade receivables	7 410	
Trade payables		4 665
Inventory	8 000	
	CF	
Cash at bank	8 095	
Capital at 1 January 2021		109 940
Drawings	11 320	
Petty cash	80	
	226 417	226 417

OF

matching CF totals

4(b) \$

Cash book balance	8 095	OF
Add unrepresented cheques	437	
Bank statement balance	8 532	OF Credit

4(c)

Error		Entries required to correct the error			
		Debit		Credit	
	Account	\$		Account	\$
1	Drawings of goods for own use, \$317, had been omitted from the books of account.	317	Drawings	Purchases	317
2	Purchases returns, \$93, had been credited to the sales account.	93	Sales	Purchases returns	93
3	A payment for property insurance, \$500, had been debited to the property account.	500	Rates and insurance	Property	500
4	A credit purchase, \$315, from Erin had been recorded as \$135.	180	Purchases	Erin	180
5	A credit sale, \$191, to Harvinder, had been debited to the sales account and credited to Harvinder's account.	382	Harvinder	Sales	382

4(d)(i) Error of commission

4(d)(ii) Error of original entry

END OF ANSWER

Question 06 | May/June 2022 Paper 21 Question 2 - 20 marks

2(a) Fatima 11

Income Statement for the year ended 31 March 2022			
	\$	\$	\$
Revenue			79 400
Less Returns			3 970
			75 430
Less Cost of sales			
Opening inventory		3 000	
Purchases	36 500		
Less goods for own use	1 300	35 200	
		38 200	
Less Closing inventory		3 120	35 080F
Gross profit			40 350F
Add Discount received			1 095
			41 445
Less Expenses			
Rent and rates (9000 - [2/3 × 1500])		8 000	
Wages (10 100 + 800)		10 900	
General expenses		1 287	
Insurance		1 800	
Irrecoverable debts		200	
Provision for doubtful debts ([6400 - 200] × 3% = 186 - 156)		30	
Depreciation of fixtures and equipment			
([80 000 - 39 040] × 20%)		8 192	30 409
Profit for the year			11 036 0F

2(b) Fatima

Capital account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2021		
March 31	Drawings (8580 + 1300)	9 880	April 1	Balance b/d	59 000
	Balance c/d	60 156	2022		
		70 036	March 31	Profit for the year	11 036
					70 036
			April 1	Balance b/d	60 156

2(c) In favour of accepting bank loan:

Key point: Liability bank ends after 4 years repay until time Key point: interest need paid four years Benefit: Repayment interest loan due improves relationship bank Key point: ways raising finance require commitment longer period time Key point: best way sole trader limited access funds obtain extra finance

Against accepting bank loan:

Key point: Bank loan repaid set date future

Bank may require security/personal assets may be at risk

Key point: find difficult repay loan 4 years time Key point: Loan interest must paid even short liquid funds

There may be more appropriate ways of raising the finance

for recommendation

END OF ANSWER

Question 07 | May/June 2022 Paper 22 Question 4 - 20 marks

4(a)(i)

	Cost	NRV	Valuation
packs of paper	4.50	8.00	4.50 × 240 = 1080
packs of envelopes	5.50 + 1.00 = 6.50	10.00 - 1.50 = 8.50	6.50 × 225 = 1462.50
notepads	4.00 + 2.00 = 6.00	5.00	5.00 × 150 = 750
boxes of pencils	3.50	6.00	3.50 × 96 = 336
Total			3628.50 or 3629

4(a)(ii) Prudence

4(b)(i)

	Capital expenditure	Revenue expenditure
Computer printer paper		✓
Computer equipment	✓	
Installation of computer equipment	✓	
Motor vehicle	✓	
Insurance of motor vehicle		✓
Delivery of motor vehicle	✓	

4(b)(ii) Recording low value non-current assets can be costly and time consuming

Risk: cost greater benefit gained treating non current asset Key point: Items significantly affecting profit non current assets need recorded asset Key point: What material small larger

4(c)

	overstated	understated
Effect on capital	□	
Effect on liabilities		□

4(d) Advantages of the straight line method

Easier to calculate than the reducing balance method

Key point: straight line method representative annual loss value

Non-current assets may be shown at a more realistic value
The annual depreciation charge would be reduced
Higher profits may encourage investors / lenders

Disadvantages

Method of charging depreciation should be applied consistently

Key point: Increasing profit sufficient reason change method

Profit may be overstated in the year of change

Key point: book value non current assets accurate overstated

Comparison with previous years not meaningful

Recommendation

Risk: Need least one advantage disadvantage order get recommendation

Note: marks for either option

END OF ANSWER

Question 08 | Oct/Nov 2022 Paper 21 Question 1 - 20 marks

1(a) Anika

Income Statement for the year ended 31 August 2022

		\$		\$
Rent receivable (162 000 - 8 100)			153 900	
Less Expenses				
General expenses (26 500 - 1 300)	25 200			
Rates (38 200 + 3 400)	41 600			
Insurance (12 400 - 360)	12 040			
Repairs (32 000 - 9 000)	23 000			
Depreciation - Premises (418 000 / 50)	8 360			
Fittings (28 000 × 20%)	5 600	115 800		
Profit for the year			38 100	OF

1(b) Anika

Capital account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2021		
Aug 31	Drawings	18 500	Sep 1	Balance b/d	400 000
	Balance c/d	419 600	2022		
		438 100	Aug 31	Profit for year	38 100 OF
					438 100
			2022		
			Sep 1	Balance b/d	419 600 OF

1(c) Using own capital

Key point: Consistent profit year greater 3% interest savings

More capital will be at risk

Need to consider if additional capital provides a similar/greater return

Key point: demand additional property area return her investment fall

Would still be entitled to the whole profit
Would maintain control/no need to consult on decision-making

Forming a partnership with Janos
Janos' skills may be useful in the business
Janos would introduce additional capital
Profit would be shared with Janos
Risks would be shared with Janos
Responsibilities would be shared with Janos
Disagreements may arise

Risk: Personal savings maintained additional funds risk

Recommendation

1(d) Capital expenditure is money spent on non-current assets: revenue expenditure is money spent on day-to-day expenses

Key point: Capital expenditure lasts 12 months revenue used up

Importance of correct classification

Including capital expenditure in income statement

Including revenue expenditure in statement of financial position

Including capital expenditure in income statement

Including revenue expenditure in statement of financial position

Profit for year understated

Profit for year overstated

Non-current assets understated

Non-current assets overstated

END OF ANSWER

Question 09 | Oct/Nov 2022 Paper 22 Question 1 - 20 marks

1(a) BC 12

Income Statement for the year ended 31 August 2022

	\$	\$
Revenue		231 500
Sales returns		3 600
		227 900
Cost of sales		
Opening inventory	11 100	
Purchases	120 000	
Carriage inwards	400	
	131 500	
Closing inventory	12 000	
Gross profit		119 500 OF
Commission receivable (2 200 + 800)		108 400 OF
Discount received		3 000
		1 400 **
		112 800
Discount allowed	600 ** both	
Insurance (9 600 - 700)	8 900	
Repairs (12 400 - 4 000)	8 400	
Salaries (53 900 + 4 900)	58 800	
Rates (6 000 - 300)	5 700	
Depreciation machinery (27 600 x 20%)	5 520	87 920
Profit for the year		24 880 OF

1(b) \$ \$

Current assets		
Inventory	12 000	
Trade receivables	19 200	
Commission received	800	
Rates prepaid	300	
		32 300
Current liabilities		
Trade payables	7 300	
Salaries owing	4 900	
Bank	4 100	
		16 300
Working capital		16 000 OF

1(c) Option 1 Credit

Only payback the original amount of \$6000/no interest

Credit may not be granted as already has an overdraft

Working capital/funds may be adequate provided trade receivables pay on time

Consider whether adequate funds will be available in 60 days

Working capital will be reduced

Option 2 Loan

Interest each year will have to be paid

Interest will lower profit each year

Consider whether funds will be available to repay the loan

Loan may not be granted as already has an overdraft

Recommendation

END OF ANSWER

Question 10 | May/June 2023 Paper 21 Question 2 - 20 marks

2(a)(i) Stalla

Provision for doubtful debts account

Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2022		
	Dec 31 Balance c/d	3 080		Jan 1 Balance b/d	3 000
			2022		
		3 080		Dec 31 Income statement OF	80
					3 080
			2023		
				Jan 1 Balance b/d	3 080

2(a)(ii) Not all trade receivables will pay the amount they owe/ to anticipate irrecoverable debts

Key point: apply principle prudence ensure profit overstated trade receivables

Key point: apply principle matching ensure sales payment likely received regarded Key point: expense year sales made

2(b) \$ \$

Proceeds		9 500
Cost	16 000	
Less provision for depreciation	7 000	9 000
Profit on disposal		5000F

2(c)(i) Stalla

Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2022		
	Jan 1 Balance b/d	48 000		Dec 31 Disposal	16 000
				Balance c/d	32 000
		48 000			48 000
2023					
	Jan 1 Balance b/d	32 000			

2(c)(ii) Stalla

Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2022		
	Dec 31 Disposal OF	7 000		Jan 1 Balance b/d	21 000
	Balance c/d	18 500		Dec 31 Income statement	
		25 500			25 500
			2023		
				Jan 1 Balance b/d OF	18 500

CF0F

2(d)

	Capital expenditure	Revenue expenditure
Legal fees for obtaining permission to build the extension	□	
Building costs for the extension	□	
Insurance for the office		□
Painting the office extension	□	
Office calendar for 2023		□
Purchase of office equipment	□	
Installation of office equipment	□	
Stationery for office		□

END OF ANSWER

Question 11 | May/June 2024 Paper 21 Question 3 - 20 marks

3(a) Q Limited

Income statement for the year ended 31 January 2024			
	\$		\$
Revenue			78 000
Less: Cost of sales			
Opening inventory	2 950		
Purchases	38 200		
	41 150		
Less Closing inventory	4 720		36 430
Gross profit			41 5700F
Less Rent and insurance	10 600	}	
Directors' salaries	19 000	}	
General expenses	3 420	}	
Advertising (5 400 + 75)	5 475		
Depreciation of fittings (10% □ 18 000)	1 800		40 295
Profit for the year			1 2750F

3(b) Retained earnings: \$

Opening balance	2 297
Profit for the year	1 2750F
	3 572
Less Dividend paid	(2 500)
Closing balance	1 0720F

3(c) Q Limited

Statement of financial position at 31 January 2024

	\$	\$	\$
	Cost	Accumulated depreciation	Net book value
Non-current assets			
Fittings	18 000	7 2000F	10 8000F
Current assets			
Inventory		4 720	
Bank		915	5 635
			16 435
Equity and Liabilities			
Ordinary share capital			13 000
Retained earnings			1 0720F
			14 072
Current liabilities			
Trade payables		2 288	
Other payables		75	2 3630F
			16 435

3(d) For

May increase sales/result in more customers
 May help reduce the level of inventory
 May benefit future years

Risk: Increase gross profit extra cost advertising raise profit year

Against

Risk: able afford increase advertising costs Risk: need borrow money increased advertising costs borrowing incur interest

There is no guarantee that sales would increase

Risk: Profit reduce result loss expenses increase extra advertising

Recommendation

END OF ANSWER

4.4 Irrecoverable debts and provision for doubtful debts

Question 01 | May/June 2021 Paper 22 Question 2 - 20 marks

2(a) Tej

Dr			Rent payable account			Cr
Date	Details	\$	Date	Details		\$
2020			2021			
Mar 1	Balance b/d	300	Feb 28	Income Statement	3 900	
Jun 30	Bank	1950				
Nov 30	Bank	2100			450	
						4 350
2021						
Mar 1	Balance b/d	450				

2(b) Tej

Dr			Provision for doubtful debts account			Cr
Date	Details	\$	Date	Details		\$
2021			2020			
Feb 28	Balance c/d (7 000 × 6%)	420	Mar 1	Balance b/d (6 250 × 4%)	250	
			2021			
			Feb 28	Income statement	170	
			Mar 1	Balance b/d	420	420

2(c) Matching

2(d)(i) Revenue is regarded as being earned when title to the goods is passed

Key point: profit sales recognised until earned

Profit is recognised when earned not when payment is received
 Profit is earned when the sale is completed/legal title passes
 No profit is recognised when goods are ordered

2(d)(ii) To ensure that profits/trade receivables are not overstated

Key point: ensure trade receivables shown realistic statement financial position Risk: Profits assets reduced provision doubtful debts increased

the provision is reduced

2(e) Advantages

Will encourage customers to pay earlier
 May increase liquidity/cash flow
 May reduce administration time/costs
 Or other relevant advantages

Disadvantages
 Good relationships with customers will be damaged
 could lose customers or revenue may reduce
 May incur extra costs to attract customers/advertising/marketing
 Or other relevant disadvantages

Recommendation

END OF ANSWER

Question 02 | Oct/Nov 2022 Paper 21 Question 5 - 20 marks

5(a) NT

General Journal			
Date	Details	Debit	Credit
		\$	\$
May 5	Irrecoverable debts	600	
	LW		600
	Account written off as irrecoverable		

5(b) NT

Key point: Extract income statement year ended 31 August 2021

	\$
Irrecoverable debts (600 + 4100)	4 700
Provision for doubtful debts (91 500 × 5%)	4 575

5(c) NT

Extract from statement of financial position at 31 August 2021

Current assets**	\$
------------------	----

Trade receivables	91 500
Less Provision for doubtful debts	4 575 OF
	86 925 OF ** For heading + OF total

5(d) NT Ledger accounts

Dr			PB account			Cr
Date	Details	\$	Date	Details	\$	
2022			2022			
*	Balance b/d	7 000	July 17	Bank	2 500	}
				Irrecoverable debts	4 500	}
		7 000			7 000	
Dr			Irrecoverable debts account			Cr
Date	Details	\$	Date	Details	\$	
2022			2022			
July 17	PB	4 500 OF	Aug 31	Income statement	12 900 OF	
Aug 31	Trade receivables/ debts written off	8 400				
		12 900			12 900	
Dr			Provision for doubtful debts account			Cr
Date	Details	\$	Date	Details	\$	
2022			2021			
Aug 31	Balance c/d	5 500	Sep 1	Balance b/d	4 575 OF	
			2022			
		5 500	Aug 31	Income statement	925 OF	
					5 500	
			Sep 1	Balance b/d	5 500	

* No specific date specified

+ Dates

5(e) Option 1 - charge interest

Customers may go elsewhere/competitors may offer better terms/sales may decrease
 Customers may not be prepared to pay the interest
 May damage relationship with customers

Risk: Customers pay time encouraged avoid interest charges

Profit/income will be increased because of interest received
 Increase in administration costs

Option 2 - stop supplies

Key point: Overdue balances never paid written off Risk: Customers go elsewhere competitors offer better terms sales decrease

May damage relationship with customers

Recommendation

END OF ANSWER

Question 03 | Oct/Nov 2022 Paper 22 Question 4 - 20 marks

4(a) PG 13

Dr			Sales account			Cr
Date	Details	\$	Date	Details	\$	
2022			2022			
Jul 31	Income statement	377 000 OF	Jul 31	Trade receivables	360 000	
				Cash	17 000	
		377 000			377 000	
Dr			Sales returns account			Cr
Date	Details	\$	Date	Details	\$	
2022			2022			
Jul 31	Trade receivables	13 300	Jul 31	Income statement	13 300	
		13 300			13 300	
Dr			Trade receivables account			Cr
Date	Details	\$	Date	Details	\$	
2021			2022			
Aug 1	Balance b/d	28 500	Jul 31	Sales returns	13 300	
2022				Bank	335 100	
Jul 31	Sales	360 000		Discount allowed	6 500*	
	Bank	4 000		Irrecoverable debts	900*	
				Balance c/d	36 700	
		392 500			392 500	
Aug 1	Balance b/d	36 700 OF				

Key point: 1 2 correct items 4

4(a) Irrecoverable debts account

Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2022		
Jul 31	Trade receivables	900	Jul 31	Income statement	900
		900			900

Provision for doubtful debts account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2021		
Jul 31	Balance c/d	1 468	Aug 1	Balance b/d	1 140
			2022		
		1 468	Jul 31	Income statement	328
					1 468
			Aug 1	Balance b/d	1 468 OF

4(b) PG

		Extract from statement of financial position at 31 July 2022	
Current assets**		\$	
Trade receivables	36 700 OF		
less provision for doubtful debts	1 468 OF		
	35 232 OF **		

**For heading + OF total

4(c) Obtain (credit) references

Set credit limit
 Sell for cash only / reduce credit sales
 Issue invoices / statements of account promptly
 Follow up with phone calls / emails etc
 Improve or introduce credit control / hire a credit controller
 Charge interest on late payment
 Refuse further supplies until outstanding balance is paid
 Increase level of cash discount
 Last resort take legal action

4(d) Experience of late / non-payment

Specific knowledge of customers credit record / credit rating

Key point: Length time debts outstanding ageing schedule trade receivables turnover

State of the local economy

END OF ANSWER

Question 04 | Oct/Nov 2023 Paper 21 Question 3 - 20 marks

3(a) Logan

Inventory account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2023		
Oct 1	Balance b/d	8 400	Sep 30	Income statement	8 400
					8 400
2023					
Sep 30	Income statement	8 675			

3(b) Logan

Provision for doubtful debts account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2023			2022		
Sep 30	Balance c/d	335	Oct 1	Balance b/d	300
		335	2023		
			Sep 30	Income statement OF	35
					335
			2023		
			Oct 1	Balance b/d OF	335

3(c) Logan

Rent payable account					
Dr			Cr		
Date	Details	\$	Date	Details	\$
2022			2023		
Oct 1	Balance b/d	820	Sep 30	Income statement	4 940
Dec 1	Bank	2 460			830
2023					
Jun 1	Bank	2 490			
		5 770			
Oct 1	Balance b/d OF	830			
+ Dates					5 770

3(d)(i) Inventory is valued at the lower of cost and net realisable value

3(d)(ii) The rent relating to the current year is transferred to the income statement

Key point: total rent paid adjusted prepayments before transfer income statement

3(e) Advantages of buying premises using loan

- Would not have to pay rent
- Will not be subject to future rent increases
- May be cheaper in the long run

Key point: Property owned adapt requirements rent out etc

- Have several years to repay the loan
- No further obligation after loan repaid
- Over a period of time property may increase in value

Disadvantages of buying premises using loan

- Have to pay interest on loan
- Loan must be repaid when due

Risk: Loan probably secured property assets risk repaid

- Will be responsible for maintenance of property
- Percentage of interest on loan may increase

Recommendation

END OF ANSWER